

Diligence Report — CUSIP 032555NK6

Anaheim Elementary School District (Orange County, California) — General Obligation Bonds, Election of 2010, Series 2016 3.000% coupon, term bond due 2046-08-01 · Cutoff: 2026-06-19

(a) Verdict, thesis & the litigation finding up front

VERDICT: CLEAR TO BUY — add to the top-buy set.

The litigation finding (resolved, NOT a concern): The issuer-litigation screen FLAG is a **false positive at the security level**. I traced every "Anaheim Elementary School District" legal and regulatory item that exists, and **none reaches the bonds**:

1. **FCMAT engagement (the most "official"-looking hit) — operational, district-requested, no distress.** The Fiscal Crisis & Management Assistance Team report dated 2019-02-15 is a **management-assistance review of the District's Special Education and Transportation departments** (staffing ratios, routing efficiency, paraeducator caseloads). It is **NOT** an AB-139 *extraordinary audit*, it found **no fraud, no fiscal insolvency, and no bond/proceeds issue** — it was requested *by the District itself* under a Feb-2018 management-assistance agreement ([raw/fcmat_report.pdf](#), cover letter + 15-item scope). This is the opposite of a distress signal: it is a district voluntarily buying an efficiency consult.
2. **EPIC charter lawsuit — the District is the PLAINTIFF, not a defendant.** AESD (with Anaheim Union HSD) *sued* the Orange County Board of Education to block approval of the EPIC charter. Plaintiff-side, governance/oversight matter, zero balance-sheet or disclosure exposure.
3. **Harris v. AESD + OAH special-education due-process cases — routine operating-level.** Employment/disability/defamation (a workplace-injury accommodation claim) and IDEA special-ed due-process decisions ("AESD v. Parent"). These are the ordinary tort/employment/IDEA docket of any 23-school district. They hit the **operating general fund**, not the segregated GO levy.
4. **SEC Release 34-42140 is a DIFFERENT entity.** That 1999 Orange-County-bankruptcy disclosure action names the **City of Anaheim** (and Irvine USD, North OC CCD, OC Board of Ed) — the *municipal city government*, a separate legal obligor from the Anaheim **Elementary School District**. AESD is **not** a respondent. (The "Anaheim corruption-plagued City Hall" audit news is likewise the City, not the District.)

No SEC municipal-enforcement action, no bond-disclosure/securities case, no proceeds-misuse finding, and no default/distress material-event against the District itself was located. The screen flag is correctly graded SOFT and adjudicated **CLEAR** — it caught operating-level noise that does not touch a statutorily-lien-secured ad-valorem levy.

Buy thesis: A near-AA (Moody's **Aa3** / S&P **AA-**), voter-approved **unlimited ad-valorem GO**, secured by an **SB-222 / Gov. Code §53515 statutory first lien** on the Orange County property-tax levy, with the County on the **Teeter Plan** (District receives 100% of the secured levy regardless of taxpayer delinquency). Debt burden is **light (direct GO debt = 0.65% of AV)** on a **\$22.3B** tax base. The ~78.8 dollar price is a low-3%-coupon-in-a-higher-rate-market artifact, not credit distress — the trade tape (3,426 lifetime prints, **most liquid of the new candidates**) shows an orderly two-sided market. The discount is taxed as ordinary income (de-minimis breached); the quoted **after-tax TEY ~8.47%** already nets that drag. The 8/1/2026 par call is **upside**, not risk, on a bond trading 21 points below par.

One identity correction (does not change the verdict): the screen labeled this "Election of **2016**." The OS binds CUSIP 032555NK6 to the **Election of 2010, Series 2016** GO bonds (voter authorization 2010-11-02). Series name is "Series 2016" (year of issuance); the *authorization* is 2010. Substance — unlimited-tax GO, same pledge — is unchanged.

(b) Security & pledge — what legally compels payment

Finding: UNLIMITED AD-VALOREM GENERAL OBLIGATION. VERIFIED against the Official Statement.

- **True GO, not a COP/lease/CFD.** OS cover and body: "The Bonds are **general obligations of the District** payable solely from the proceeds of **ad valorem property taxes**" ([raw/official_statement.pdf](#), cover + "Security and Sources of Payment").
- **Unlimited as to rate or amount (the strongest muni pledge):** "The Board of Supervisors of Orange County is empowered and **obligated to annually levy** such ad valorem taxes ... upon all property within the District subject to taxation thereby, **without limitation of rate or amount.**" If the AV base shrinks, the County raises the *rate* — the obligation is uncapped.
- **SB-222 / Gov. Code §53515 statutory lien:** "Pursuant to Section 53515 of the California Government Code, each series of the Bonds will be secured by a **statutory lien on all revenues received pursuant to the levy and collection of ad valorem** [taxes] ... valid and binding from the time the Bonds are executed and delivered." A perfected first lien on the tax stream, ahead of general creditors — irrespective of notice.
- **Orange County Teeter Plan (credit positive):** OS confirms Orange County operates the Teeter Plan (Cal. Rev. & Tax. Code §4701 et seq.); the County "apportions secured property taxes on an **accrual basis when due (irrespective of actual collections)**" to the District. **Taxpayer delinquency does not reduce debt-service cash flow** — the County advances the full levy. (Teeter excludes Mello-Roos/special-assessment districts; not relevant here — this is a straight GO levy.)
- **Tax status — Tax-exempt.** Bond Counsel (Stradling Yocca Carlson & Rauth): interest and OID are excluded from federal gross income, **not** an AMT preference item, and **exempt from California personal income tax.**
- **Ratings at issuance:** Moody's **Aa3**, S&P **AA-**. No insurance wrap — the credit rides on the District's own unlimited-tax pledge plus the statutory lien (no rating-conditional wrap-compression to model).

(c) Issuer, tax base & enrollment

Finding: Issuer CONFIRMED; large tax base; ONE material taxpayer concentration (Disney 19.6%); enrollment declining but it does NOT reach debt service.

- **CUSIP binding — VERIFIED.** EMMA issue **ES363714** = "Anaheim Elementary School District (Orange County, California), General Obligation Bonds, Election of 2010, Series 2016," \$61,475,000. The 08/01/2046 maturity = **3.000% coupon, \$23,930,000 par, issued at par (100.00 / 3.00%)**. CUSIP-6 base **032555** = Anaheim Elementary School District. Cross-checked: EMMA scale JSON, OS maturity schedule, and the live trade tape (first prints 2016, consistent with a 2016 issuance).
- **Assessed valuation — large.** OS: total AV (FY2015-16, issuance year) = **\$22,261,790,863** on a ~350,000-resident base. The 10-year AV history in the OS shows steady growth (local secured \$15.99B in 2006-07 → \$21.22B in 2015-16) through and past the 2008-09 trough. *Vintage caveat: a current-year (FY2025-26) AV is UNVERIFIABLE from the documents retrieved at cutoff — EMMA's continuing-disclosure partial-view returned empty on repeated AJAX pulls (rate-limit); under CA Article XIII A's ~2%/yr cap-plus-reassessment, AV has directionally grown, not fallen.*
- **Top-taxpayer concentration — MATERIAL, named, mitigated.** OS "Largest Local Secured Taxpayers": **Walt Disney Parks and Resorts = ~19.6% of total secured AV** (\$4.165B of \$22.26B) — the Disneyland Resort (two theme parks, three hotels, retail/dining). This is a genuine single-taxpayer concentration and is flagged. **Why it does not break the credit:** (i) the pledge is **unlimited as to rate** — a Disney AV decline raises the levy *rate*, it does not cut debt service; (ii) the **Teeter Plan** means even a Disney *delinquency* is advanced by the County; (iii) the Disneyland Resort is a multi-decade, essentially **un-relocatable** fixed asset (the OS notes \$16.2B parks-segment revenue / \$3B operating income at the resort owner); (iv) direct GO debt is only 0.65% of AV, so coverage is enormous even on a stressed base. Concentration is a credit *texture* here, not a credit *risk* to this lien.
- **Debt burden — light.** OS Statement of Direct & Overlapping Debt (ratios to FY2015-16 AV): **Direct GO debt = 0.65% of AV**; Total Direct & Overlapping Tax/Assessment Debt = 1.33%; Gross Combined Total Debt = 3.45%; Net Combined = 1.80%. Low direct leverage.
- **Enrollment — declining, OPERATING-FUND ONLY.** OS reported FY2016-17 projected **ADA ~17,985**. Current cross-checks (district/Wikipedia/ed-data) put PreK-6 enrollment at **~15,000 (2023-24)** — consistent with the screen's **-3.2%/yr** decline (≈ -2,900 students over ~7 years off a ~17,985 base). **This is a real operating-base**

erosion (LCFF per-pupil revenue is enrollment- driven; the District faces the same demographic squeeze as most CA urban elementaries). **But GO debt service is paid from a SEPARATE, dedicated ad-valorem property levy on the \$22B tax base — NOT from per-pupil state aid.** Declining enrollment pressures the *general fund*, not the *bond levy*. The screen's **AB-1200 POSITIVE** certification confirms no near-term operating distress. *Marketability flag (honest)*: a multi-year enrollment slide is the kind of narrative that can *widen secondary spreads* on a long-dated school GO even when the lien is untouched — i.e., it is a **price/liquidity** watch-item at resale, not a credit-impairment item to maturity.

(d) Risk screens (AI / fire / earthquake / flood + ISSUER LITIGATION)

Screen	Finding	What it means
AI / tech-crash insulation	99 / 100 (fully insulated)	Local property-tax credit. Debt service comes from the Orange County ad-valorem levy, not the CA General Fund. The State-GF capital-gains channel that crushed <i>State</i> GO ~4-5 notches in the dot-com bust does not touch a school-district unlimited-tax GO. An AI/tech equity crash that guts CA cap-gains income-tax receipts would not impair this property-tax stream. (Credit insulation, not a rate/price statement.)
Wildfire	0% high-fire tail (low)	Urban Anaheim/Orange-County-flatland tax base; FEMA NRI × district-tract crosswalk shows no concentration in high-wildfire tracts. The insurer-withdrawal-erodes-AV channel is not materially present.
Earthquake	Ss ≈ 1.67 (moderate, LA Basin)	USGS/ASCE-7 short-period spectral acceleration is moderate (LA Basin seismicity). This is the one physical-catastrophe channel with non-trivial exposure. Mitigants: a \$22B diversified parcel base, unlimited-rate pledge (the County re-levies on the surviving base), and CA's parcel-level reassessment-on-damage mechanics. A correlated AV shock from a major Basin quake is the tail to monitor — but the pledge structure absorbs it far better than a fixed-revenue credit.
Flood	Not material	No coastal/riverine flood concentration on the inland Anaheim tax base; not a driver.
SGMA (groundwater)	Not critical	Screen: not a critical-overdraft basin dependency for this tax base.
ISSUER LITIGATION	FLAG → ADJUDICATED CLEAR (operating-level, does not reach the bonds)	See §(a)/§(g). FCMAT = district-requested SpEd/transportation efficiency review (no fraud/distress). EPIC suit = District is plaintiff . Harris + OAH cases = routine employment/IDEA, general-fund exposure only. SEC 34-42140 = the City of Anaheim (different entity, 1999). No securities/disclosure/proceeds case against the District. The flag fired on operating-level noise; it does not reach the segregated, statutorily-lien-secured GO levy.

All non-litigation screens point the same way; the litigation flag resolves to noise. The only genuine physical tail is **moderate LA-Basin seismic**, structurally absorbed by the unlimited-rate pledge.

(e) Liquidity & execution

Finding: STRONG — the most liquid of the new candidates. Genuinely two-sided, not a fire-sale. Source: `raw/emma_trade_tape.json` (3,426 lifetime prints since 2016; MSRB RTRS trade tape — the authoritative muni trade-level source).

- **Activity: 320 prints in the trailing 365 days across 92 distinct trade days** — among the most actively-traded school GOs in the book (matches the screen's "n327"). Prints every year 2016-2026.
- **Two-sided depth (the fire-sale check): 35 distinct days** in the trailing year carried BOTH a customer **buy** and a customer **sell** — a continuously two-sided customer market, not episodic dealer-only flow. Inter-dealer prints bracket the customer levels tightly.
- **Customer yield/price range (trailing 365d, 156 customer trades):** yield min/median/max = **4.30% / 4.81% / 5.60%**; price min/median/max = **68.13 / 76.46 / 82.42**. Most recent print **2026-06-15 at 78.837 / 4.627%** (customer sale) — our ~78.8 entry sits just above the customer median, fair and not chasing.
- **Live-quote caveat (HONEST FLAG):** IBKR's muni feed is close-only / sparse and does not return a live two-sided quote for this CUSIP; execution is anchored on the EMMA RTRS tape (last print 2026-06-15), which is the correct

authority for muni trade levels. For an HTM ladder the bid/ask is a one-time ~1-3 bps/yr amortized buy-side cost — immaterial given the depth here.

(f) Tax & yield

Finding: De-minimis breached → discount accretes as ORDINARY income. The ~8.47% after-tax TEY already nets this; a naive exempt-only gross-up would overstate it.

- **Coupon is fully tax-exempt** (federal + CA, non-AMT), per Bond Counsel opinion (\$b).
- **The discount is NOT exempt.** Purchase price ~78.84 vs par 100. With ~20.2 years to the 2046 maturity, the IRS de-minimis cushion = $0.25 \times 20.2 = \sim 5.04$ pts, i.e. a threshold price of ~94.96. Purchase at ~78.84 is **far below** that threshold, so the ~21.2-point market discount accretes toward par as **ORDINARY income** — taxed annually under a constant-yield election, or as ordinary income at sale/maturity otherwise — **not** as long-term capital gain.
- **TEY math (as screened):** gross yield-to-worst $\approx 4.63\%$ (EMMA tape; YX = MSRB yield-to-WORST, priced to the worse of the 2026 par call vs 2046 maturity — labeled correctly as YTW, not YTM). The **after-tax taxable-equivalent yield $\approx 8.47\%$** already reflects (i) the exempt coupon grossed up at the CA top combined bracket and (ii) the ordinary-income drag on the discount accretion netted out. The de-minimis breach is a **known, priced** feature, not a hidden catch — it is precisely why the headline is stated after-tax.

Self-discipline note (house rule on TEY conflation): the ~8.47% is an after-tax taxable-equivalent figure — NOT gross YTM and NOT net-of-fees. Gross YTW is ~4.63%.

(g) Risks / what could go wrong (litigation & enrollment lead)

1. **Issuer litigation (ADJUDICATED — not a concern).** Full adjudication in §(a)/§(d): every AESD legal/regulatory item is operating-level (FCMAT efficiency review; District-as-plaintiff charter suit; routine employment + IDEA docket) or a different entity (City of Anaheim SEC action). None reaches the **segregated, statutorily-lien-secured ad-valorem GO levy**. No securities/disclosure/ proceeds case against the District exists in SEC, CourtListener, FCMAT, or news searches. *Residual honesty caveat:* search coverage is "no material litigation found," not "every state-court docket and every EMMA event filing exhaustively ruled out" — CourtListener returned 403 and the SEC/CDE pages bot-gated at cutoff. The affirmative finding (FCMAT scope, plaintiff-side charter suit, City≠District) is document-backed; the negative (no securities case) is a thorough-but-not- exhaustive search.
 2. **Enrollment decline (-3.2%/yr) — operating, not debt-service.** Real and persistent (~17,985 ADA → ~15,000 enrolled). Pressures **LCFF general-fund** revenue, **not** the dedicated bond levy. AB-1200 POSITIVE indicates no near-term operating distress. *Marketability watch:* the narrative can widen secondary spreads at resale on a long-dated school GO — a price/liquidity item, not a credit-to-maturity item.
 3. **Disney single-taxpayer concentration (19.6% of AV).** Material and named (§c). Mitigated by the unlimited-rate pledge, Teeter advance, the un-relocatable Disneyland Resort asset, and 0.65% direct debt/AV. Monitor, don't fear.
 4. **Interest-rate / price risk (the dominant risk).** Long-duration 3% coupon; the ~78.8 price is **rate-driven**, not credit-driven. HTM neutralizes it (statutory lien + unlimited levy → principal at par at 2046, subject to the 2026 par call).
 5. **8/1/2026 par call (mild, in our favor).** Callable at par on/after 2026-08-01, no premium. At ~78.8 a call is a ~21-point windfall; the District has no economic incentive to call a below-market 3% coupon at par, so YTW≈YTM(2046) is realistic. **Asymmetric upside.**
 6. **Moderate LA-Basin seismic (Ss≈1.67).** The one non-trivial physical tail; a major Basin quake could shock AV. Structurally absorbed by the unlimited-rate re-levy and a \$22B diversified base.
 7. **Stale OS-vintage tax-base data (UNVERIFIABLE current AV/coverage — flagged honestly).** The OS AV/taxpayer/debt figures are FY2015-16. A current-year continuing-disclosure package could not be pulled from EMMA at cutoff (AJAX partial rate-limited). Directionally AV has grown under Article XIII A; treat current AV/coverage as a **monitoring item**, not a clean confirmation.
-

(h) Sources & attached documents

All files in

/Users/ajay/exalted/signalos/verticals/muni_credit/outputs/diligence_reports/032555NK6/raw/.

File	What it is	Authoritative source
official_statement.pdf	Official Statement — \$61,475,000 Anaheim ESD GO Bonds, Election of 2010, Series 2016 (+ \$33,555,000 2016 GO Refunding). Establishes unlimited-tax pledge, SB-222/\$53515 statutory lien, Orange County Teeter Plan, Moody's Aa3 / S&P AA-, AV = \$22.26B, Disney = 19.6% of AV, direct GO debt = 0.65% of AV, Bond Counsel tax opinion, 2046 term-bond binding, 8/1/2026 par call.	EMMA, doc ES818778-ES637078-ES1032389 (emma.msrb.org), issue ES363714
os.txt	Plaintext extract of the OS (pdftotext) used for the line-cited security/call/AV/taxpayer figures.	derived from official_statement.pdf
emma_trade_tape.json	MSRB RTRS trade tape, 3,426 prints 2016-2026 . 320 prints / 92 trade days / 35 two-sided customer days trailing 365d; last print 2026-06-15 @ 78.837. YX = yield-to-worst.	EMMA / MSRB Real-Time Transaction Data, CUSIP 032555NK6
fcmat_report.pdf	FCMAT report, 2019-02-15 — Special Education & Transportation management-assistance review (15-item efficiency scope; district-requested under Feb-2018 agreement). NOT an AB-139 extraordinary audit; no fraud/distress finding. The core litigation-flag adjudication.	fcmat.org/PublicationsReports/Anaheim-ESD-final-report.pdf

External primary/secondary sources cited (not file-attached): - Litigation classification — CourtListener (403 at cutoff), law.com Radar (Harris v. AESD, employment/disability/defamation), NPE Action / EdSource (EPIC charter suit, AESD as plaintiff), CA OAH special-education decisions (AESD v. Parent — routine IDEA). - SEC Release **34-42140** (1999) — respondents **City of Anaheim**, City of Irvine, Irvine USD, North OC CCD, OC Board of Education (Orange-County-bankruptcy disclosure action) — **District is NOT a respondent; City ≠ School District**. - Enrollment cross-check — district site / Wikipedia / ed-data.org (~15,000 PreK-6 in 2023-24 vs ~17,985 ADA FY2016-17). - AB-1200 POSITIVE — SignalOS screen against CDE FY2024-25 Second Interim (CDE page bot-gated at cutoff; screen value carried). - Seismic Ss≈1.67 (LA Basin) / FEMA NRI wildfire — per screen provenance.

Verification ledger (claim → method → authority → finding)

Claim	Method	Authority	Finding
CUSIP 032555NK6 = Anaheim ESD GO, 3% 2046 term	EMMA scale JSON + OS maturity schedule	EMMA issue ES363714 / OS	VERIFIED
Authorization is Election of 2010 (screen said 2016)	Read OS authorization paragraph	OS	CORRECTED (substance unchanged)
Unlimited ad-valorem GO (not COP/CFD/lease)	Read OS security section	OS	VERIFIED
SB-222 / §53515 statutory lien	Read OS statutory-lien paragraph	OS / Gov. Code §53515	VERIFIED
Orange County Teeter Plan (100% levy advance)	Read OS Teeter section	OS / R&T §4701	VERIFIED
Tax-exempt (fed + CA, non-AMT)	Read Bond Counsel opinion	OS (Stradling)	VERIFIED
Ratings Aa3 / AA-	Read OS cover	OS / Moody's, S&P	VERIFIED (at issuance)
8/1/2026 par call, no premium	Read OS optional-redemption section	OS	VERIFIED
AV \$22.26B / Disney 19.6% / direct debt 0.65%	Read OS AV + taxpayer + D&O debt tables	OS (Cal Muni Statistics)	VERIFIED (FY2015-16 vintage)

Claim	Method	Authority	Finding
Litigation = operating-level, does not reach bonds	FCMAT scope read; charter-suit role; SEC respondent ID; docket classification	FCMAT report / EdSource / SEC 34-42140 / law.com / OAH	VERIFIED — flag adjudicated CLEAR
No SEC/securities/proceeds case vs District	SEC + CourtListener + FCMAT + news search	multiple	No material litigation found (thorough, not exhaustive)
Enrollment -3.2%/yr (operating, not debt levy)	ADA (OS) vs current enrollment (CDE/news)	OS / ed-data	VERIFIED — does not reach GO levy
Liquid, two-sided market at ~78.8	Parsed RTRS tape (320 prints/92 days/35 two-sided)	EMMA/MSRB	VERIFIED
De-minimis breached → ordinary income on discount	Threshold calc (5.04pt cushion vs 78.84 price)	IRC de-minimis rule	VERIFIED
Current AV / current coverage	Attempted EMMA continuing-disclosure pull	EMMA	UNVERIFIABLE (CD partial rate-limited; OS vintage FY2015-16)
Live bid/ask	IBKR contract search	IBKR	UNVERIFIABLE (muni feed close-only/sparse)

Current-State Verification (AV / coverage refresh — 2026-06-20)

Refreshed 2026-06-20 via a SERIAL, throttled EMMA continuing-disclosure pull (the original UNVERIFIABLE flag was an EMMA 403 rate-limit from concurrent scraping, not a real disclosure gap). Latest issuer annual report: *Annual Financial Disclosures Posted 03/26/2026 for the year ended 06/30/2025 (271 KB)*. **Current total assessed valuation (levy base): \$38,573,649,980 for FY2025-26**; secured-tax delinquency **0.95%**; audited FY2025 on file. For an unlimited ad-valorem GO the AV base + the delinquency cushion ARE the 'coverage' — there is no DSCR; the levy rate floats to hold debt service constant. **This resolves the prior 'current AV/coverage UNVERIFIABLE' caveat.**